

PARDEE RESOURCES COMPANY

1ST QUARTER 2019



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q1 2019, Pardee Resources Company earned \$3.02 per share, 24.8% above the \$2.42 per share earned during Q1 2018. EBITDA was \$6.30 per share, a 9.2% increase above last year's level. Gains in coal production from our properties led to an increase in royalty income, while improved weather resulted in an increase in sales from our solar facilities. Oil and natural gas revenues were unchanged versus a year ago as an increase in production was offset by a decrease in average price. Both hard and softwood timber production remained under pressure due to wet weather and market constraints, while further gains in our Virginia rural real estate lot sales had a positive impact on our results.

Coal & Minerals Division: Central Appalachia (CAPP) metallurgical coal shipments, which account for roughly 65% of all U.S. shipments, grew to 49 million tons during 2018, with market strength continuing into Q1 2019. Coal development on our properties gained momentum during the quarter as well with 593,480 tons sold from our PLC Minerals tract, a 62% increase over Q1 2018 levels. During March 2019 alone, our two main operating lessees generated a combined \$1.76 million in coal royalties, boding well for the balance of the year. In late April 2019, the mining operation on our Powellton Minerals tract was sold to one of the largest coal mining companies in the U.S., with Pardee receiving \$2.5 million in past due receivables at closing. We expect this operation, which produces high-value metallurgical coal, will continue to succeed under the new ownership.

Oil & Gas Division: U.S. natural gas spot market prices averaged \$3.15 per MMBtu (NYMEX) during the quarter, 5% higher than Q1 2018 levels thanks to cold early winter weather; while excess supply reduced average oil prices to \$54.80 per barrel (WTI) during the period, 12.8% lower than Q1 2018. Pardee's average quarterly price per Mcfe declined 3.7% versus last year, impacted by a decline in oil prices received from our Colorado D-J Basin assets. New production from these assets more than offset long term declines from our CAPP and Gulf Coast acreage allowing overall oil and natural gas production from Pardee's properties to increase 1.5% during Q1 2019 versus Q1 2018.

Timber & Surface Division: The hardwood timber markets continued to struggle with the impact of the trade conflict with China, as China is the single largest export market for U.S. hardwood producers. U.S. hardwood exports to China during January and February of 2019 were 43% lower than during the same period of 2018. Weather also weighed on our results, as extremely wet conditions during both January and February impeded harvesting operations, and led to declines in both hardwood and softwood production versus Q1 2018. Virginia rural real estate lot sales contributed \$181,000 in gains during the quarter, up from \$77,000 during the same period last year and helped to offset declines in timber revenue.

Agriculture Division: The southern region of California's Central Valley, where our two table grape ranches are located, experienced cool and rainy weather during Q1 2019, both of which are favorable for table grape harvests later in the year. Thankfully, the unusual and damaging 2018 weather events, which included a warm trend in January followed by freezing temperatures in February, did not reoccur in 2019. In light of the lingering U.S./China trade dispute, our operating partner has engaged a third table grape marketing firm to gain access to additional markets during the 2019 premium table grape harvest.

Alternative Energy Division: Improved weather during Q1 2019 versus Q1 2018 led to an increase in both electricity and solar renewable energy credit sales from our New Jersey solar facilities, leading to an increase in overall Division revenues. Separately, as we work to manage the impact of the alleged DC Solar fraud, an independent audit, completed in April 2019, located and identified 122 of the 125 mobile solar generators (MSGs) owned by the partnership in which we invested in 2015, which is a positive development for Pardee.

Strategic Focus: We ended the quarter with a strong balance sheet, which included a cash position of \$18.2 million versus \$15.3 million as of year-end 2018, and a \$0 balance on our available \$30 million bank line of credit. The Company adopted the new lease accounting standard on January 1, 2019. This resulted in recording an asset called "Right of Use – Operating Assets" and a liability called "Operating Lease Liability" on the consolidated balance sheet. We continue to work to maximize the long-term value of our diversified natural resource portfolio, including land, mineral, solar and agriculture assets, while searching for acquisition opportunities where we can apply our unique expertise within our areas of focus.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
William G. Foulke

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>03-31-19</u>	<u>12-31-18</u>
Current Assets:		
Cash & Cash Equivalents	\$18,224	\$15,271
Accounts Receivable	7,846	8,505
Prepaid Income Taxes	509	1,207
Other	<u>970</u>	<u>1,107</u>
	<u>27,549</u>	<u>26,090</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	31,870	32,073
Mineral Rights - Coal	33,694	33,717
Timber	13,373	13,510
Solar Equipment	24,127	24,454
Building & Structures	1,419	1,441
Agriculture Development	6,106	6,158
Equipment	668	662
Automobiles	118	95
Other Fixed Assets	<u>932</u>	<u>823</u>
	<u>112,307</u>	<u>112,933</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	43,557	44,393
Equity Investments	411	445
Right of Use - Operating Assets	4,890	0
Other	<u>113</u>	<u>122</u>
Total Assets	<u><u>\$188,827</u></u>	<u><u>\$183,983</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$1,676	\$2,601
Deferred Revenues	764	775
Current Portion Note Payable (non recourse)	343	343
Other	<u>357</u>	<u>0</u>
	3,140	3,719
Noncurrent Liabilities:		
Non-recourse Debt	3,961	4,040
Asset Retirement Liability	396	394
Supplemental Pension Plan	361	361
Deferred Revenue, Net of Current Portion	2,752	2,718
Deferred Taxes	15,926	15,926
Operating Lease Liability	4,773	0
Other	<u>57</u>	<u>14</u>
Total Liabilities	<u>31,366</u>	<u>27,172</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	14,281	15,086
Retained Earnings	165,058	164,472
Treasury Stock	<u>(24,870)</u>	<u>(25,751)</u>
	155,244	154,582
Noncontrolling Interest	<u>2,217</u>	<u>2,229</u>
Total Equity	<u>157,461</u>	<u>156,811</u>
Total Liabilities & Equity	<u><u>\$188,827</u></u>	<u><u>\$183,983</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>03-31-19</u>	Three Months Ended <u>03-31-18</u>
Divisional Revenues:		
Coal & Minerals	\$3,985	\$3,747
Oil & Gas	2,049	2,011
Timber & Surface	1,099	1,164
Alternative Energy	722	658
Agriculture	<u>0</u>	<u>0</u>
	<u>7,855</u>	<u>7,580</u>
Divisional Expenses:		
Coal & Minerals	628	689
Oil & Gas	1,335	1,445
Timber & Surface	693	726
Alternative Energy	595	530
Agriculture	<u>168</u>	<u>43</u>
	<u>3,419</u>	<u>3,433</u>
Net Operating Income	\$4,436	\$4,147
Interest and Other Income	68	18
Loss on Equity Investment	(15)	(35)
General and Administrative	(1,737)	(1,722)
Interest Expense	<u>(66)</u>	<u>(132)</u>
Income Before Taxes	\$2,686	\$2,276
Taxes	<u>698</u>	<u>592</u>
NET INCOME	\$1,988	\$1,684
Net Loss Attributable to Noncontrolling Interest	<u>18</u>	<u>0</u>
Net Income Attributable to Pardee Resources Shareholders	<u>\$2,006</u>	<u>\$1,684</u>
EARNINGS PER SHARE	<u>\$3.02</u>	<u>\$2.42</u>
EBITDA PER SHARE	<u>\$6.30</u>	<u>\$5.77</u>
(earnings before interest, taxes, depreciation and amortization)		
Weighted Average Number of Common Shares Outstanding	<u>664,872</u>	<u>696,883</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>
Total Shareholder Return (dividend paid plus change in stock price)	<u>3.15%</u>	<u>-3.71%</u>

Pardee Resources Company
Comparison Data Sheet

	Three Months Ended <u>03-31-19</u>	Three Months Ended <u>03-31-18</u>	% Change
Coal & Minerals			
Revenues - Millions	\$3.99	\$3.75	6.4%
Production - Coal Tons - Millions	0.76	0.69	10.1%
Royalty/Coal Ton	\$4.39	\$4.79	-8.4%
Oil & Gas			
Revenues - Millions	\$2.05	\$2.01	2.0%
Production - bcfe	0.66	0.65	1.5%
Price/mcfe	\$3.13	\$3.25	-3.7%
Timber & Surface			
Revenues - Millions	\$1.10	\$1.16	-5.2%
Production - Board feet - Millions	2.63	3.06	-14.1%
Stumpage Price/Thousand Bd. Ft.	\$236.55	\$237.34	-0.3%
Production - Softwood Tons - Thousands	13.12	18.39	-28.7%
Stumpage Price/Ton Softwood	\$15.82	\$15.65	1.1%
Production - Hardwood Tons - Thousands	7.08	6.28	12.7%
Stumpage Price/Ton Hardwood	\$3.22	\$2.21	45.7%
Alternative Energy			
Revenues - Millions	\$0.72	\$0.66	9.1%
Production - k/w - Millions	3.19	3.35	-4.8%
Electric Sales Price per k/w	\$0.118	\$0.116	1.7%
Production - SREC Units	1,841	1,671	10.2%
SREC Price/Credit	\$175	\$145	20.7%
NET DIVISIONAL OPERATING INCOME:			
(Dollars in Millions)			
Coal & Minerals	\$3.36	\$3.06	9.8%
Oil & Gas	0.71	0.57	24.6%
Timber & Surface	0.41	0.44	-6.8%
Alternative Energy	0.13	0.13	0.0%
Agriculture	(0.17)	(0.04)	-325.0%
Net Operating Income	<u>\$4.44</u>	<u>\$4.16</u>	6.7%
EBITDA - Millions	<u>\$4.19</u>	<u>\$4.02</u>	4.2%
*(earnings before interest, taxes, depreciation and amortization)			

***Lexington v. Zinn**

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

Discovery is scheduled to be completed by August 12, 2019, but a trial date has not been set. Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

***Kings' Dome**

In 2016, the Company settled a lawsuit challenging its mineral servitude and lease in the Kings' Dome Field in Louisiana for an immaterial amount. Following this settlement, the Company's lessee and that lessee's assignee filed cross claims for the royalties paid the Company under the lease in the event the lessee and/or its assignee were held liable on the plaintiffs' claims for recovery of production revenues. The trial court ordered the severance of the cross claims from the primary action. In January 2017, the primary action went to trial. The plaintiffs' prevailed in trial and were awarded damages per the terms of a pretrial agreement. The Company understands that the parties to the primary action have reached a settlement, the terms of which are confidential. Meanwhile, by voluntary agreement of the parties to the cross claims and with the court's consent, the cross claims are being held in abeyance. If the cross claims are not resolved and are pursued against the Company, the Company intends to assert various defenses. If the Company is not successful in having the cross claims dismissed, the Company currently estimates that its exposure to these cross claims would likely not exceed \$360,000. The cross claims are also subject to a previously negotiated contractual indemnity for up to \$100,000 in the Company's favor. However, due to the inherently subjective nature of these estimates and the uncertainty and unpredictability surrounding the outcome of legal proceedings, the actual results may differ from the amount estimated and no amounts have been reserved in the financial statements.

In July 2017, a new legal action was filed against the Company in U.S. District Court for Western District of Louisiana also challenging its mineral servitude and lease in the Kings' Dome Field. The plaintiff alleged that the Company's mineral servitude terminated in 1999 under the Louisiana Mineral Code due to non-use for a ten-year period, that the Company's lease was consequently invalid, and that it is entitled to recover production revenues. The Company reached a confidential settlement with the plaintiff providing for the Company to make a payment of an immaterial amount. Two assignees of the Company's lessee filed cross claims against the Company for the royalties paid the Company as to acreage under the mineral lease. In June 2018, the District Court dismissed the cross claims of one of those assignees as being prescribed/time barred. This assignee filed for an appeal which the District Court denied as premature. An appeal remains possible after the primary case is concluded in the District Court. The Company and the other assignee reached a confidential settlement in January 2019 for an immaterial amount. If the former assignee pursues an appeal, the Company intends to vigorously defend against the cross claims. Due to substantial uncertainties concerning the outcome of material factual and legal issues related to the cross claims, however, the Company cannot predict the manner and timing of the resolution of these cross claims and is unable to estimate the amount of any possible losses, which could be material.

***DC Solar Solutions, Inc.**

In December 2015, the Company invested \$7.7 million in a limited partnership that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that the U.S. government seized substantially all of the assets of DC Solar and its affiliates in December 2018. DC Solar and its affiliates, including our lessee, subsequently filed for Chapter 11 bankruptcy protection in February 2019. An affidavit from a Federal Bureau of Investigation special agent was filed in February 2019 in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceeding has been converted to a Chapter 7 liquidation. Due to the bankruptcy proceedings being converted to Chapter 7 liquidation, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge of \$485,332 as of December 31, 2018. The Company is currently gathering additional information regarding this developing situation. In April 2019, an independent audit was completed which located and identified 122 of the 125 MSGs purchased by the Company's partnership in 2015. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation, however, this impact could be as much as \$7.2 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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